

Minimum Tax on Discretionary Trusts – Exposure Draft Legislation

On 3 September 2026, the Federal Government released a [package of exposure draft legislation](#) on the proposed 30% minimum tax on discretionary trusts which is proposed to commence on 1 July 2028. Consultation closes on 18 September 2026.

When the measure was first announced in the 2026-27 Budget and discussed in the July 2026 consultation paper, it was proposed for roll-over relief to be available for a three-year period from 1 July 2027 that would allow a discretionary trust to restructure into another entity (e.g. a company or trust) without triggering CGT and other immediate income tax consequences.

Significantly, the draft legislation introduces a new alternative “election” for discretionary trusts existing as at 1 July 2028 which allows trustees to permanently nominate beneficiaries and distribution percentages instead of being subject to the proposed minimum tax regime. Key points from the minimum tax on discretionary trusts draft legislation are outlined below.

At a glance – how does the 30% minimum tax regime work?

From 1 July 2028, a 30% trustee-level minimum tax will apply to the “**minimum tax income**” of discretionary trusts that are “**minimum tax trusts**”. Notable features are as follows:

- Non-corporate beneficiaries are eligible for a non-refundable tax offset for minimum tax paid by the trustee.
- Corporate beneficiaries are not eligible for the tax offset, essentially resulting in ‘double taxation’ of that net income.
- Franking credits may be refunded to the trustee of the trust.
- A new Excluded Election Trust (EET) regime allows eligible trusts to lock in beneficiaries and distribution percentages instead of being subject to the proposed minimum tax regime.
- As an alternative to the 30% minimum tax regime or the EET election, roll-over relief is available for a three-year period from 1 July 2027 for trusts that wish to restructure into another entity.

Who does it apply to?

- The regime applies to “**minimum tax trusts**”, being a trust that is not a fixed trust, special disability trust, trust estate of a deceased person, a complying superannuation entity or a trust of a kind determined in a legislative instrument.
- **New codified definition of fixed trust** - (a) a trust where beneficiaries have fixed entitlements to all of the income and capital of the trust; or (b) a trust which has no material discretionary elements affecting the entitlements or rights of the trust’s beneficiaries. The new definition is proposed to apply across all tax law.
- **Excluded trusts** (i.e. trusts which are not minimum tax trusts) – include widely held trusts, MITs, AMITs, CCIVs, bare trusts, employee share trusts, worker entitlement funds and exempt entities such as charitable trusts.

What does it apply to?

Regime applies to “**minimum tax income**” which is broadly the net income of the trust, excluding:

- Taxable primary production income
- A share of net income of the trust that corresponds to a minor’s proportionate share of income of the trust estate and meets certain conditions
- A share of the net income of the trust that corresponds to a registered charity’s, DGR’s or exempt entity’s proportionate share of income of the trust estate and that meets certain conditions
- Amounts to which non-resident withholding tax applies, and
- Income of a testamentary trust – subject to the following income which will still be classified as “minimum tax income”:
 - Income from property contributed after 7.30pm on 12 May 2026 unrelated to the deceased estate
 - Net income of testamentary trusts established on or after 1 July 2028 with corporate or trust beneficiaries (i.e. must have beneficiaries which are only individuals or exempt entities, in order to not be regarded as minimum tax income)
 - Commissioner decides to deny exclusion from minimum tax income where income arises from property which has been transferred to the trust under a scheme entered into or carried out for a purpose, other than an incidental purpose, to avoid the minimum tax.

How does the EET regime work?

- Available only to trusts that exist on 1 July 2028
- Can only be made in the first income year in which the rules apply (i.e. an income year starting on or after 1 July 2028)
- Need both of the following for election to be valid:
 1. **Make election** - EET election must be made during the relevant year and include a nomination of beneficiaries that the trustee intends to make presently entitled to a share of the income and capital of the trust in each year of income and their relevant shares (which must total 100%); and
 2. **Notify ATO** - Notification to Commissioner in the approved form required by earlier of the due date of lodgement of the trust’s tax return for the income year in which the election is made and the date on which the return is lodged
- Cannot nominate complying superannuation entities, partnerships and companies unless it is an “eligible company” (being a company with no material discretionary elements affecting the rights of members)

- Can only vary beneficiary nomination if nominated beneficiary passes away or where two nominated beneficiaries experience a relationship breakdown
- There is automatic revocation of the EET election if present entitlement nominations are not followed or if nominated company or trust beneficiary is wound up, vests, is deregistered, ceases to be an object of the trust, ceases to be an eligible company, or has a change in shareholder for a reason other than a death or relationship breakdown.
- Voluntary revocation is also available and, where chosen, the affected trust is subject to minimum tax for all future income years (i.e. cannot re-elect into EET regime)
- Trustee tax is applicable at the top marginal rate in the year of revocation.
- Election cannot be made if roll-over relief is chosen

How does the roll-over work?

- **Single transferee** - available for the transfer of assets by the trustee of a minimum tax trust to a single transferee which may be a company, individual, partnership or the trustee of another trust (but not an exempt entity, a complying superannuation entity or the trustee of another minimum tax trust) that is an Australian tax resident.
- **All assets transferred within 3 years** - restructure must occur during the three-year period from 1 July 2027 to 30 June 2030 – all assets must be transferred (with exceptions including non-transferrable tax attributes, primary production assets and assets with an original cost of \$1,000 or less). Need to notify Commissioner that restructure is in progress if an asset is transferred in a later income year.
- **Continuity requirements** – different requirements are applicable for family trusts (which have made a family trust election) and other minimum tax trusts to ensure continuity between the persons who directly or indirectly obtain the relevant interests through the transferee following the transfer and those who were eligible to benefit from the minimum tax immediately before the transfer
- **Four-year clawback period** - roll-over not available if there are material discretionary elements affecting the rights or interests of members of the transferee during the period beginning on the day of the last transfer of an asset required to satisfy the all-assets requirement and ending at the end of the fourth income year after the income year in which the last transfer occurs
- Roll-over is **voluntary, irrevocable and must be made by both transferor and transferee**
- **Consequences of roll-over** – restructure is free of immediate income tax and CGT consequences. Transferee inherits cost base and acquisition date of assets. Does not apply to other taxes (e.g. stamp duty).

The release of the exposure draft legislation is welcomed and provides much needed colour on how the minimum trust regime is proposed to work in practice. However, it does not necessarily offer more certainty and raises further questions on how the rules are expected to work and be administered. Our other observations include:

- There are three options offered by the exposure draft legislation to the minimum tax regime, being (a) restructure; (b) elect out; and (c) apply minimum tax.
- Each of the three options have their own pros and cons e.g. the EET regime is not flexible but avoids the minimum tax, while the “apply minimum tax” option retains flexibility but with a potential additional tax cost. Restructures may or may not be viable and ongoing continuity requirements need to be adhered to. Any choice will need to be balanced with non-tax implications e.g. operational aspects, asset protection, succession planning and flexibility, supported by long-term modelling and an analysis of trust deeds.
- The EET regime seems to introduce a new concept of “tax” present entitlement which can be different to legal present entitlement. In addition, such “tax” present entitlement seems to also be extended to the capital of the trust.
- The draft legislation does not appropriately articulate what exactly constitutes a “fixed trust” versus “discretionary trust” for the purposes of the minimum tax. The “fixed trust” definition is important and is relevant to other areas of the tax law.
- Interaction of the minimum tax regime with the proposed measures to bring unpaid present entitlements (UPEs) of private companies within the Division 7A deemed dividend rules / implications from the *Bendel* case is yet to be considered.

Extension of Australia’s foreign resident CGT regime

The *Treasury Laws Amendment (Strengthening Accountability for Tax Adviser Misconduct and Other Measures) Bill 2026* has now passed both houses of Parliament and received Royal Assent on 15 September 2026. Among other things, the new law extends Australia’s foreign resident CGT regime to capital gains made by foreign residents on such things as licences or contractual arrangements for data centres, renewable energy assets, substations, toll roads, bridges, car parks, ports, pipelines, mining plant and equipment and water entitlements. This on the basis that such investments fit within the proposed new definitions of ‘real property’ and Taxable Australian Real Property. The new law will commence application from 1 October 2026.

Contact

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